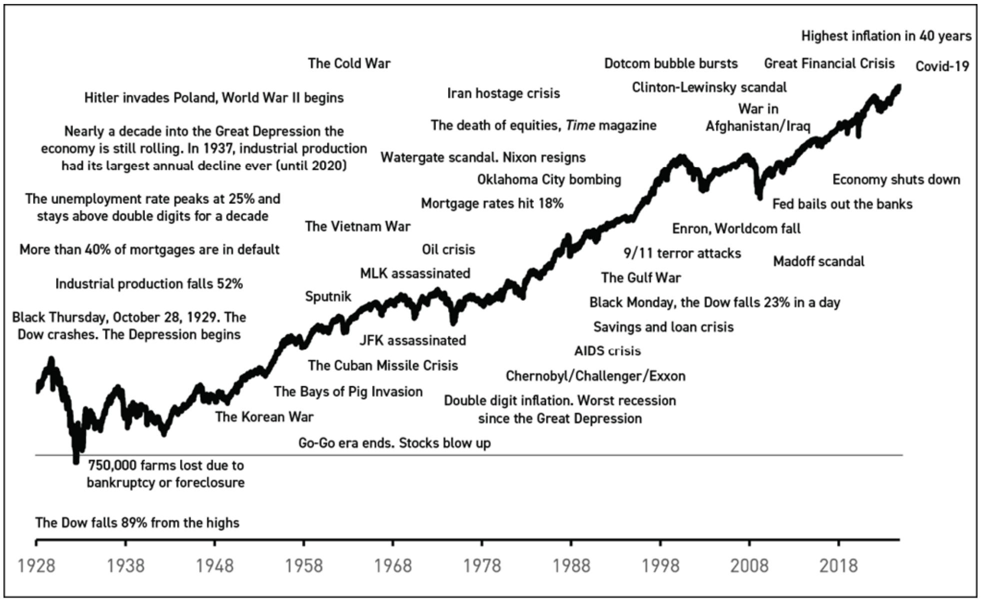
Growth of $1 (S&P 500)



And that’s barely scratching the surface of the endless bad news that can derail investors. *Why, it’s almost as if your portfolio compounds over time regardless of the news…*

We discussed earlier that markets move less than half a percent on 53% of the trading days; really big moves of 5% to 10% occur in two out of every three years; and sell-offs between 10% and 20% happen once every three years.

This is what normal looks like.

What should investors think about as these events happen? Here is my shortlist:

- Markets surge and sell-off. This is the ordinary course of events.
- Emotional reactions are bad for your portfolios.
- The world is filled with random outcomes. Even more so when humans are involved.
- Gurus and talking heads will fail you. Their forecasts were wrong.